Charlotte, North Carolina

Strategic IT Landscape and Market Analysis Report

April 6, 2026

1. Executive Summary & Macro Landscape

The City of Charlotte, North Carolina, currently operates within a highly dynamic, rapidly expanding macroeconomic environment characterized by explosive population growth, aggressive corporate recruitment, and a corresponding strain on municipal infrastructure. As the largest municipality in North Carolina and a primary economic engine for the Southeastern United States, Charlotte is navigating the profound complexities of scaling city services while maintaining the fiscal prudence expected by its electorate and corporate residents. The city is currently experiencing what local leadership and economic developers describe as a "golden era" for the region. In the calendar year 2025 alone, the city recorded its most successful period for business recruitment in more than a decade, successfully supporting fifteen major project announcements. Driven by strategic partnerships between the City of Charlotte and Mecklenburg County, these initiatives are projected to deliver more than 3,880 new jobs and inject over $424 million in capital investment across various neighborhoods.

This unprecedented corporate influx and population density directly impact the municipality's technological posture. The city is forced to modernize legacy systems rapidly to accommodate an expanding tax base, increased citizen service interactions, and the complex data telemetry generated by new infrastructure. Fiscally, the city is operating under a structurally balanced, two-year budgetary framework spanning Fiscal Year 2025 (FY25) and Fiscal Year 2026 (FY26). The adopted FY26 budget totals an immense $3.65 billion, a figure that comprehensively encompasses the annual operating budget and the ambitious FY2026-FY2030 Capital Investment Plan (CIP). This strategic financial plan follows a massive FY25 budget of $4.17 billion across all internal and enterprise funds, which necessitated a 1.37-cent property tax increase—the first of its kind in six years—to support critical capital investments, arts and culture, and public safety operations. Notably, the FY26 budget was developed and adopted without an additional property tax increase, allowing Charlotte to maintain its status as having the lowest tax rate among North Carolina's largest municipalities. This inherent fiscal conservatism dictates that net-new operational expenditures for enterprise information technology will be heavily scrutinized by the City Manager's office. Consequently, the municipality is heavily incentivized to favor capitalized IT modernization projects, bond-funded infrastructure initiatives, and investments that demonstrably yield long-term operational cost-saving efficiencies.

The strategic trajectory of the city is rigidly guided by the City Council's Annual Strategy priorities, which dictate the flow of departmental funding, project prioritization, and enterprise IT modernization efforts. The top administrative goals driving the current fiscal year agendas center heavily on sustainable economic expansion, public safety, and generational infrastructure investments. Capitalizing on the record-breaking 2025 corporate recruitment year, the city is heavily investing in the "Corridors of Opportunity" program, allocating an initial $30 million in total investments to historically under-resourced areas. Furthermore, the administration has established the Office of Youth Opportunities to promote economic mobility and positive youth development for residents aged thirteen to twenty-four. From a technology standpoint, these workforce initiatives mandate robust data-driven tracking

mechanisms and expanded digital inclusion platforms, such as the "Smart Charlotte" and "Access Charlotte" public Wi-Fi initiatives, to ensure equitable access to digital municipal services.

Public safety and the creation of safe communities remain paramount concerns for the electorate and the City Council. Law enforcement and emergency response optimization have received massive capital injections. The city recently funded a $7 million expansion of the 911 call center located within the Charlotte-Mecklenburg Police Department (CMPD) headquarters, alongside significant upgrades to the Police and Fire training academy. Additionally, $14.5 million has been allocated for the construction of new firehouses to ensure response times remain optimal as the city's geographic footprint expands. For enterprise technology vendors, this translates to an immediate, critical need for highly available IT infrastructure, real-time data analytics, edge computing, and massive unstructured storage capabilities to support expanding video management systems and computer-aided dispatch environments.

To support the sheer volume of population density, Charlotte has passed the largest transportation and neighborhood bond in its history, totaling $300 million. Concurrently, the city is allocating $20 million toward the Vision Zero traffic safety initiative, representing the largest investment in that program's history. The city also recently launched the Strategic Investment Areas (SIA) program, a highly sophisticated, data-driven approach designed to align mobility and infrastructure funding with the areas of greatest community need, supported by a $55 million allocation. Furthermore, generational housing investments continue to dominate the political discourse. Addressing the housing affordability crisis, the city increased its 2024 Housing Bond funding from $50 million to a record $100 million in FY25, subsequently approving $49 million through the Housing Trust Fund to support 1,548 housing units, including 798 new rental units and 222 homeownership opportunities.

Underpinning all of these ambitious civic goals is the fundamental administrative mandate for a "Well-Managed Government" through comprehensive digital transformation. The executive leadership is aggressively pursuing a transition to a "paperless government," an initiative initially catalyzed by the remote work necessities of the COVID-19 pandemic but now formalized as a permanent operational standard. This ongoing mandate requires the implementation of unified electronic document management platforms, aggressive cloud expansion, enterprise collaboration tools, and the ethical, highly governed integration of Artificial Intelligence to optimize citizen-facing services and internal efficiencies.

2. Power Structure & Key Stakeholders

Navigating the sphere of influence within the City of Charlotte requires a nuanced understanding of both the elected officials who control the appropriations process and the specialized technical leadership responsible for executing the city's complex IT vision. While the central Innovation & Technology (I&T) department dictates enterprise-wide standards, highly specialized operational edge environments—most notably the Charlotte Douglas International Airport (CLT) and the Charlotte-Mecklenburg Police Department (CMPD)—wield significant,

autonomous localized procurement power.

Name & Title	Sphere of Influence	Recent Public Stances on Technology & Operations
Vi Lyles Mayor, City of Charlotte	Financial Purchaser (Bond & Budget Approvals)	Champions equitable infrastructure, affordable housing, and mobility enhancements. Emphasizes that federal technology and transportation investments must serve all residents and align with the city's long-term sustainability goals.
Markell Storay Chief Information Officer (CIO) & Director of Innovation & Technology	Technical Influencer & Financial Purchaser (Enterprise IT)	Appointed as CIO in December 2024, previously serving as the city's CTO and the Aviation IT Director. He advocates for a deliberate "crawl, walk, run" approach to Artificial Intelligence. Emphasizes rigorous cybersecurity, customer-centric IT operations, and prioritizing actual citizen needs over deploying technology simply for the sake of modernization.
Estella Patterson Chief of Police, Charlotte-Mecklenburg Police Department (CMPD)	Financial Purchaser (Public Safety IT)	Appointed in late 2025, she prioritizes reducing violent crime through enhanced community engagement and the deployment of advanced technology. Supports CMPD's heavy utilization of Real Time Crime Centers (RTCC), Body-Worn Cameras (BWC), and License Plate Readers (LPR).

Name & Title	Sphere of Influence	Recent Public Stances on Technology & Operations
Jack Christine Chief Infrastructure Officer, Charlotte Douglas International Airport (CLT)	Technical Influencer & Financial Purchaser (Aviation Edge)	Oversees the massive $2.5B–$3.1B "Destination CLT" airport expansion. A vocal champion of innovation, research, and workforce development, he actively partners with UNC Charlotte to create a "living laboratory" at the airport to pioneer advanced aviation technologies and operational telemetry.
Randy Moulton Deputy CTO & Chief Security Officer (CISO)	Technical Influencer (Cybersecurity & Governance)	A United States Navy veteran responsible for the city's enterprise security posture. He is heavily involved in the local Carolina CISO community. Focuses strategically on balancing generative AI innovation with practical governance, risk management, and strengthening resilience against evolving cyber threats.
Charlitta Hatch Chief Data & Analytics Officer (CDAO)	Technical Influencer (Data Architecture & AI)	Central to the city's data governance frameworks, data lake construction, and the foundational requirements for the AI Strategic Roadmap. Focuses intensely on ensuring municipal datasets are "AI-ready" while actively mitigating algorithmic bias through strict compliance protocols.
Reenie Askew Assistant City Manager	Financial Purchaser & Strategic Oversight	Former CIO who successfully transitioned to the role of Assistant City Manager. She likely holds significant sway over the Shared Services Governance Committee and acts as the crucial administrative bridge between the City Manager's office and central IT execution strategies.

The internal power dynamic and operational philosophy in Charlotte are heavily influenced by the background and rapid ascent of CIO Markell Storay. Promoted to the top technology post in December 2024 to succeed Reenie Askew, Storay's professional pedigree shapes the city's entire approach to technology acquisition. As a United States Air Force veteran who previously managed IT for the federal General Services Administration (GSA) and subsequently served as the Technology Services Director for the Charlotte Douglas International Airport (CLT), Storay brings a highly disciplined, security-first mindset. His deep understanding of complex, 24/7 edge operational environments ensures that enterprise IT initiatives are grounded in practical utility rather than theoretical innovation. His promotion indicates a citywide mandate to stabilize enterprise architecture, secure the perimeter, and drive innovation through highly validated, secure pathways.

Furthermore, the influence of Jack Christine at the airport cannot be overstated. As Chief Infrastructure Officer for CLT, his control over the airport's physical and digital infrastructure signifies that aviation IT operates almost as an autonomous enterprise within the broader municipal structure. Christine's oversight of the multi-billion-dollar "Destination CLT" expansion and his strategic partnerships with academic institutions like UNC Charlotte demonstrate a willingness to invest heavily in experimental, edge-compute technologies and IoT sensor networks. Vendors seeking to penetrate the city's technology landscape must recognize this bifurcation; enterprise solutions sold to the central I&T department require a fundamentally different sales motion than specialized operational technologies pitched to the airport or the police department.

3. IT Governance & Service Delivery Model

The City of Charlotte's approach to technology governance and service delivery has evolved significantly over the past decade, purposefully shifting from a highly fragmented, federated environment to a consolidated shared services model, while pragmatically retaining hybrid characteristics for its most specialized and heavily funded agencies.

Operating Model: Consolidated (Shared Services)

The Innovation & Technology (I&T) department provides the executive-level leadership required for the City's Technology Governance Policy, delivering core information technology services to all city departments and various partnership agencies. The structural foundation of this consolidated model was firmly established during "Project UNITE," a massive organizational restructuring effort successfully completed in March 2020. Prior to the implementation of UNITE, technology staff, budgets, and strategic directives were distributed haphazardly across more than twenty disparate municipal departments, leading to massive redundancies, competing standards, and dangerous security vulnerabilities. The project centralized these roles under the singular umbrella of I&T to drastically improve operational efficiency, enforce unified information security policies, enhance technology skills development among staff, and exert tighter control over enterprise software licensing and infrastructure costs.

This sweeping centralization is carefully governed by the Shared Services Governance Committee, a body designed to ensure that central IT remains responsive to the business needs of the operational departments. Typically chaired by an Assistant City Manager—a role perfectly aligned with former CIO Reenie Askew's current administrative position—the committee includes key operational department directors who convene to provide strategic direction regarding the IT service portfolio, negotiate service-level agreements (SLAs), establish delivery priorities, and dictate funding strategies. Despite this robust consolidation at the enterprise level, massive, self-funded enterprise entities like Charlotte Water (operating a $651 million budget), the Charlotte Area Transit System (CATS), and the Aviation department (CLT) maintain dedicated internal IT liaisons, help desk coordinators, and specialized project managers. These embedded resources handle industry-specific applications—such as Supervisory Control and Data Acquisition (SCADA) systems for water treatment and Automatic Vehicle Location (AVL) telemetry for transit buses—while relying on central I&T for foundational network connectivity, core compute resources, and perimeter cybersecurity infrastructure.

Friction Points & Chargeback Models

The consolidation of information technology into a shared services model inherently introduces complex operational friction, primarily surrounding how centralized IT services are quantified, billed, and charged back to the individual consuming agencies. The City of Charlotte utilizes an intricate system of Internal Service Funds (ISF) to transparently manage and allocate the costs of these centralized corporate services. Internal Service Providers (ISPs)—which include radio systems management, enterprise fleet management, risk management, and broader technology support—charge back their operational costs to the utilizing departments based on anticipated usage metrics, per-employee device counts, and network bandwidth consumption.

Operational friction within this model typically manifests acutely during the annual budget reconciliation process. For example, specific technical adjustments in the FY24 and FY26 municipal budgets updated the precise allocations required for ISPs, showing respective programmatic reductions of $15,312 and $58,958 based on fluctuating anticipated costs of service delivery. Furthermore, the transparency and accuracy of these chargebacks have been historical points of contention. A recent internal audit of the city's Cost Allocation Plan revealed that the indirect cost allocation method for Innovation & Technology’s Enterprise Resource Management was fundamentally flawed, having billed departments based on payroll check counts rather than actual financial transactions.

When central I&T mandates massive, enterprise-wide software or infrastructure upgrades—such as the recent, highly complex transition to the Workday Enterprise Resource Planning (ERP) platform—the proportional share of administrative overhead, implementation consulting, and recurring licensing costs is levied heavily against the operational departments. This chargeback model effectively forces departmental directors to surrender portions of their carefully guarded operational budgets to pay for enterprise IT platforms over which they possess limited administrative control or configuration authority. Vendors engaging with the city must recognize and navigate this internal political dynamic carefully. A highly compelling, technologically superior enterprise solution sold successfully to the central I&T department will

inevitably face fierce internal resistance if the consuming end-user agencies perceive the subsequent internal chargeback as overly punitive, non-transparent, or fundamentally misaligned with their localized business objectives and service delivery mandates.

4. Financials & Budget Breakdown

Charlotte's complex fiscal posture requires enterprise technology vendors to carefully navigate strict municipal bond structures, shifting user fee revenues, and the strategic influx of targeted federal grants. The city operates on a standard municipal fiscal year boundary running from July 1 through June 30. This specific timeline dictates that procurement cycles peak heavily in two distinct waves: first in April and May, as departments scramble to spend down remaining Operations and Maintenance (O&M) funds before they expire, and again in July and August, as newly appropriated capital project budgets become available for execution.

Total Municipal & Enterprise Budgets

The Adopted FY 2026 Budget totals an immense $3.65 billion. This comprehensive figure encompasses the General Fund ($869.4 million net of transfers), massive self-sustaining Enterprise Funds, and the rolling five-year Capital Investment Plan (CIP). The financial independence of the enterprise funds is critical to understand, as these departments generate their own revenue through user fees (e.g., water billing, airport landing fees, transit fares) and are not reliant on the general property tax base, making them highly lucrative, stable targets for long-term technology partnerships.

Fund Category	Department / Fund	FY 2025 Adopted Budget	FY 2026 Adopted Budget
General	General Fund (Net of Transfers)	Data Unavailable (Gross: ~$833M)	$869,455,331
Enterprise	Aviation (Charlotte Douglas - CLT)	Data Unavailable	$991,738,515
Enterprise	Charlotte Water	$651,000,000	$828,774,644
Enterprise	Charlotte Area Transit System (CATS)	Data Unavailable	$331,394,755

Fund Category	Department / Fund	FY 2025 Adopted Budget	FY 2026 Adopted Budget
Enterprise	Storm Water Services	Data Unavailable	$127,788,390

Innovation & Technology (I&T) Budget Allocation

Data Unavailable. While the overarching municipal budget and enterprise fund totals are extensively detailed in public records, the specific, isolated line-item dollar allocation for the central I&T department's operating and capital expenditures for FY25 and FY26 is not explicitly separated or published in the available overarching budget summaries. However, personnel tracking data provides insight into the department's scale. The I&T department saw its Full-Time Equivalent (FTE) headcount drop slightly from 220 in FY23 to 206 in FY25, primarily due to the strategic realignment of 22 FTEs (including Radio System Technicians and Wireless Communications Managers) out of the core I&T operating budget and into a newly created, standalone Public Safety Communications Fund. This shift indicates a deliberate financial strategy to isolate and protect mission-critical emergency communications funding from general enterprise IT budget reductions.

Capital vs. Operational Spend (O&M)

The city's financial planning distinctly separates day-to-day operations (OpEx) from the FY2026–FY2030 Capital Investment Plan (CIP). Due to the strict absence of a property tax increase in FY26, combined with the administration's structural focus on enhancing employee compensation—including boosting the minimum wage for city staff to $49,920 and executing a multi-year plan that raised top police officer pay by 16%—recurring OpEx budgets are highly constrained. Consequently, large-scale technology modernization efforts are overwhelmingly funded through capitalized projects, specialized debt issuance vehicles like Certificates of Participation, and voter-approved bond packages. For instance, the city utilizes a unified financing schedule for enterprise asset replacements. This structural reality forces IT leadership to classify major infrastructure upgrades, such as enterprise server refreshes and storage array deployments, as multi-year capital investments rather than recurring operational expenses, fundamentally altering how vendors must structure their financial proposals and lease agreements.

Grants & Federal Funding Influxes

To bypass local taxation constraints, Charlotte aggressively pursues state and federal funding, making deep grant alignment a critical, highly lucrative sales motion for technology providers.

- **State and Local Cybersecurity Grant Program (SLCGP):** The federal Infrastructure Investment and Jobs Act (IIJA) appropriated a historic $1 billion over four years for the

SLCGP to bolster municipal defenses. The North Carolina Department of Public Safety (NCDPS) and North Carolina Emergency Management (NCEM) manage this vital block grant for the state. Crucially for Charlotte, the grant strictly mandates an 80% pass-through of funds directly to local governmental entities. The application period for the upcoming funding cycle runs from November 1, 2025, through November 30, 2025, with an anticipated performance period stretching all the way to March 2029. To qualify for these funds, Charlotte must continuously complete the Nationwide Cybersecurity Review (NCSR) and strictly align its infrastructure with CISA Cyber Hygiene Services, specifically requiring continuous vulnerability and web application scanning. This program represents a massive influx of net-new capital specifically earmarked for advanced threat detection, immutable backup architectures, and zero-trust network deployments.

- **Infrastructure & Transportation Grants:** In January 2025, Charlotte successfully secured $31.4 million in competitive federal grants aimed directly at the Corridors of Opportunity program. This included a massive $25 million award from the Rebuilding American Infrastructure with Sustainability and Equity (RAISE) program for the Freedom Drive Mobility Corridor, and an additional $1.3 million from the Active Transportation Infrastructure Investment Program (ATIIP) for the Albemarle Cultural Trail. While classified as civil engineering and transportation projects, these initiatives contain massive underlying IT components. They require the deployment of ruggedized edge computing, intelligent traffic sensor networks, automated pedestrian safety monitoring, and the seamless integration of IoT telemetry back to the city's central data lakes for real-time analysis.

5. Strategic Initiatives & Projects

Based on a synthesis of executive mandates, capital outlays, and stated departmental priorities, the top three heavily funded technology modernization efforts currently underway within the City of Charlotte center on Artificial Intelligence integration, public safety data management, and the painful but necessary modernization of enterprise resource platforms.

1. The AI Strategic Roadmap (2025-2028)

- **The Executive Mandate:** Driven directly by the "Smart Charlotte" civic innovation program and the rapid global evolution of Generative AI (GenAI), the city has published a highly structured, comprehensive three-year strategic roadmap designed to ethically integrate artificial intelligence into core public services and internal operations. The mandate demands improved operational efficiency without compromising public trust or introducing algorithmic bias.
- **Owning Agency:** The Innovation & Technology (I&T) department, operating under the direct purview of CIO Markell Storay and Chief Data & Analytics Officer Charlitta Hatch.
- **The Underlying IT Requirement:** The city is executing a deliberately phased "Crawl-Walk-Run" approach to AI adoption to mitigate risk. The current Crawl Phase (spanning FY25) involves conducting rigorous AI Readiness Assessments across all departments, evaluating external platforms for cost and performance, and conducting

extensive data inventories to ensure existing municipal datasets are clean, structured, and "AI-ready". The subsequent Walk Phase (FY26) will focus on establishing Master Services Agreements (MSAs) with trusted AI vendors, structuring complex data ingestion pipelines for unstructured data (such as scanned invoices and handwritten permits), and deploying predictive models. Specific use cases actively being developed include linking AI models to live financial systems for real-time fraud detection and utilizing voice-to-text GenAI to automate the 311 citizen assistance hotline. The core foundational IT requirements to support this roadmap are massive: the city must construct scalable data lakes and warehouses, implement deep metadata tagging, procure high-performance compute clusters heavily optimized for machine learning (GPUs), and invest heavily in specific "Explainability & Bias Detection Tools" (e.g., SHAP, LIME) to satisfy the city's strict ethical governance policies.

2. Public Safety Modernization & Telemetry Integration

- **The Executive Mandate:** This initiative is driven by the City Council's "Safe Communities" priority, the data-driven "Strategic Investment Areas" (SIA) framework, and the aggressive $20 million "Vision Zero" traffic safety mandate.
- **Owning Agency:** The Charlotte-Mecklenburg Police Department (CMPD) under Chief Estella Patterson, in close coordination with the Charlotte Department of Transportation (CDOT).
- **The Underlying IT Requirement:** The city is investing heavily in enhancing situational awareness, reducing response times, and expanding digital surveillance capabilities. Recent funding allocations included $7 million specifically earmarked to expand the critical 911 call center located at CMPD headquarters, alongside upgrades to the Police and Fire training academy. Concurrently, the city is rapidly expanding its consolidated video management system (VMS) platform, deploying automatic vehicle location (AVL) telemetry hardware to all municipal fleet vehicles, and greatly expanding community camera coverage through the Smart Charlotte / Community Connect program. CMPD's deep reliance on advanced technologies—including its Real Time Crime Center (RTCC), extensive License Plate Reader (LPR) networks, Latent Fingerprinting Systems, and mandatory Body-Worn Cameras (BWCs) for all patrol officers—creates an exponential, compounding curve for unstructured data generation. The fundamental IT requirement relies heavily on procuring massive, infinitely scalable file storage architectures (NAS), deploying resilient hyperconverged infrastructure within the 911 dispatch center to ensure zero downtime, and implementing robust data protection and immutable backup strategies to guarantee strict chain-of-custody compliance for digital evidence.

3. Digital Transformation & Workday ERP Stabilization

- **The Executive Mandate:** The "Well-Managed Government" strategic priority, specifically aimed at establishing a fully paperless government, standardizing highly fragmented internal operations, and finally eliminating the massive technical debt associated with decades-old, highly customized legacy Human Resources and financial software

systems.

- **Owning Agency:** Innovation & Technology (I&T), acting as the central execution arm in collaboration with the Finance and Human Resources departments.
- **The Underlying IT Requirement:** Charlotte recently undertook the largest and most complex technology modernization initiative in its municipal history by attempting to migrate its core operations to the Workday platform. However, midway through the implementation, the program faced severe, cascading failures. Critical Application Programming Interface (API) integrations fell drastically behind schedule, incomplete design documentation plagued the rollout, and a lack of data visibility threatened the city's ability to process vendor payments and maintain essential services. Under the leadership of CIO Markell Storay, the city was forced to bring in external consultants (Slalom) to completely re-baseline the program, focusing intensely on stabilizing dozens of failing integration interfaces. To ensure the project's completion, the FY2026-FY2030 Capital Investment Plan specifically allocates $13.25 million in FY26 directly to the I&T department for this implementation, comprising $9.65 million for system upgrades and $3.59 million in PAYGO funding.[1] The underlying IT requirement generated by this crisis is centered heavily on establishing bulletproof cloud computing resiliency (expanding both Infrastructure as a Service and Software as a Service footprints), designing highly complex, fault-tolerant API integration architectures, ensuring application redundancy across data centers, and establishing stringent disaster recovery protocols for all tier-1 financial and HR applications.

Note on Data Center Consolidation Pressures: The city's push toward cloud resiliency is heavily influenced by localized environmental and political pressures regarding physical data centers. Recently, proposed commercial data center builds—such as a 58-acre petition on Hood Road in East Charlotte—have sparked fierce political backlash from City Council members and local residents concerning massive water and energy consumption. While massive hyperscale campuses like the 122-acre PowerHouse development are proceeding in zones like University City, the intense regulatory scrutiny on power and water usage means the city's own internal IT strategy must heavily prioritize highly efficient, dense, and ecologically sustainable on-premises infrastructure to avoid similar political friction, driving the need for server consolidation and hyper-efficient cooling architectures.

6. Procurement, Vendor Landscape, & Compliance

Executing successful sales campaigns within the City of Charlotte requires navigating a highly complex, interconnected web of state-level term contracts, cooperative purchasing agreements, and strict regulatory compliance mandates, while simultaneously displacing deeply entrenched, legacy competitors.

Procurement Vehicles & Preferred Methods

The city utilizes a multi-pronged approach to procurement, prioritizing centralized digital visibility and leveraging the massive buying power of cooperative agreements to bypass

lengthy, localized Request for Proposal (RFP) processes:

- **Charlotte Bonfire Procurement Hub:** Most municipal contracting opportunities, active solicitations, and anticipated projects—including those for General Services, Charlotte Water, CDOT, and Aviation—have been consolidated and are published exclusively through the city's Bonfire digital portal.
- **NC Statewide IT Contract 204X:** This statewide vehicle is the primary, mandatory battlefield for enterprise hardware, software, and networking procurement across North Carolina. Charlotte heavily utilizes this state contract for the vast majority of its core infrastructure and software licensing purchases.
- **Cooperative Agreements (OMNIA Partners & NASPO ValuePoint):** Charlotte is a highly active, sophisticated participant in national cooperative purchasing consortiums. The City of Charlotte routinely acts as the formal Lead Public Agency for several massive OMNIA Partners contracts. Leveraging OMNIA or NASPO drastically reduces administrative friction, internal procurement costs, and project timelines, allowing city buyers to rapidly acquire standard IT commodities and professional services.

The Battlefield: Competitor Footprints & Channel Volatility

The vendor ecosystem within Charlotte and across the broader North Carolina 204X contract landscape is currently highly volatile and fiercely competitive, presenting distinct vulnerabilities.

Technology Segment	Competitors	Battlefield Dynamics & Recent Contract Shifts
Storage & Data Management	Pure Storage, NetApp	Pure Storage is aggressively expanding its footprint within the NC public sector, marketing "simplicity" and data-centric infrastructure as the antidote to legacy complexity. However, channel volatility exists; Pure recently removed Internetwork Services Incorporated (IE) as an authorized 204X reseller, while leaning on partners like Tego Data. NetApp remains deeply entrenched but vulnerable to modernization plays.

Technology Segment	Competitors	Battlefield Dynamics & Recent Contract Shifts
Networking & Communications	Cisco Systems, Arista Networks	Cisco maintains a massive, deeply entrenched footprint across the city, supported by a vast, shifting network of 204X resellers. Cisco recently removed Internetwork Engineering as an authorized reseller, adding Data Network Solutions, indicating a continuous battle for channel supremacy and margin control.
Compute & Virtualization	HPE, VMware (Broadcom), Dell Technologies	HPE remains a legacy competitor on the 204X contract, frequently shuffling resellers (removing ePlus, adding Verinext and Mainline). Crucially, the recent Broadcom acquisition of VMware has caused massive disruption. CA, Inc. (Broadcom) severely altered its reseller landscape, notably removing Dell Marketing LP as a 204X reseller for VMware, while adding Carahsoft and Mainline Information Systems. Dell remains a primary OEM on the contract, recently refining its own partner ecosystem by adding World Wide Technology (WWT) and The Drala Project Inc..

Compliance & Regulatory Drivers

Technology purchases are strictly gated by layers of federal, state, and localized compliance mandates:

- **AI Governance Mandates:** As dictated by the AI Strategic Roadmap, the city is actively drafting strict, foundational policies governing ethical use, data privacy, and algorithmic transparency. Any AI or machine learning solution sold to the city must feature native "Explainability and Bias Detection" mechanisms and comply strictly with the city's established Generative AI Guidelines.
- **Cybersecurity & Grant Compliance:** To legally tap into the millions of dollars in federal SLCGP funding, the city's infrastructure must continuously comply with the Nationwide Cybersecurity Review (NCSR) and the CISA Cyber Hygiene operational standards.

- **CJIS (Criminal Justice Information Services):** CMPD's massive, ongoing expansion of body-worn cameras, latent fingerprinting databases, and Real Time Crime Center telemetry necessitates flawless, uncompromising CJIS compliance for all physical storage arrays and cloud architectures processing law enforcement data.
- **StateRAMP & FedRAMP Precedents:** Recent competitive technology deployments across the city's infrastructure are increasingly utilizing FedRAMP and StateRAMP authorization as primary technical requirements and strict competitive differentiators. Notably, solicitations for Privileged Access Management (PAM) systems and cloud-based contact centers mandate these rigorous compliance frameworks.

7. Actionable Dell Opportunities

Based on the synthesis of the macroeconomic environment, targeted strategic initiatives, the influx of specific grant funding, and the extreme volatility within the current vendor landscape, Dell Technologies is uniquely positioned to execute the following high-impact sales motions within the City of Charlotte.

Funded Alignment

- **PowerScale for Public Safety & VMS Sprawl:** CMPD and CDOT are generating unprecedented, compounding volumes of unstructured data through the $7 million 911 dispatch center expansion, the citywide AVL deployment, and the integration of the Smart Charlotte community camera network. Dell must map the **PowerScale (Isilon)** portfolio directly to this critical requirement. PowerScale's seamless, scale-out architecture and native CJIS-compliant data protection capabilities perfectly address the massive, long-term storage burden created by high-definition Video Management Systems (VMS) and strict Body-Worn Camera evidentiary retention policies.
- **AI-Ready Infrastructure for the 2025-2028 Roadmap:** The I&T department, led by CIO Storay and CDAO Hatch, is currently executing the "Crawl" and "Walk" phases of their ambitious AI strategy. This requires massive data lake construction, metadata structuring, and localized processing before they can safely deploy complex GenAI models into production. Dell can aggressively align its **AI-Ready server portfolio (PowerEdge XE series with NVIDIA GPUs)** and **PowerStore** architectures to provide the high-throughput, ultra-low-latency infrastructure inherently required for the city's planned 311 voice-to-text translation and real-time financial fraud detection applications.
- **APEX for Workday Integration & Cloud Resiliency:** The city's painful, highly complex, and nearly derailed migration to the Workday ERP platform highlighted severe internal vulnerabilities in their API integration architecture and disaster recovery planning. **Dell APEX** offers a flexible, consumption-based, hybrid cloud model that perfectly aligns with the city's stated strategic mandate to "increase cloud footprint" without losing sovereign control over tier-1 financial data. Furthermore, APEX allows the city's central IT to shift massive, unpredictable capital expenditures (CAPEX) into predictable operational expenses (OPEX), smoothing out the internal friction caused by punishing chargebacks to

departmental Internal Service Funds.

Whitespace & Advisory

- **AI Readiness & Data Governance Advisory:** The city explicitly mandated formal "AI Readiness Assessments" to evaluate technological and cultural readiness across all departments. This represents a massive, highly strategic whitespace opportunity. Dell Advisory Services must lead with consultative, vendor-agnostic engagements to help CDAO Charlitta Hatch accurately classify unstructured data sprawl, identify siloed legacy architectures, and architect the foundational data lake topologies absolutely necessary for their upcoming "Walk/Run" phases. Leading with advisory services builds impenetrable trusted-advisor status long before the actual hardware RFPs are published on the Bonfire hub.
- **Ruggedized Edge Computing at Charlotte Douglas (CLT):** Aviation CIO Jack Christine operates with significant autonomy, managing a massive $2.5B+ capital budget dedicated to the "Destination CLT" expansion. This expansion requires robust, highly resilient edge computing to process telemetry from IoT sensors, baggage handling systems, and advanced physical security networks. Dell should aggressively target CLT with its portfolio of ruggedized edge servers and distributed gateway solutions. By positioning this hardware as the foundational infrastructure for Christine's "living laboratory" partnership with the UNC Charlotte AIR Institute, Dell can secure a long-term, highly visible foothold at one of the world's busiest airports.

Competitive Displacement

- **Rip-and-Replace Aging SANs (Attacking Pure Storage):** Pure Storage is aggressively, and successfully, marketing a message of "simplicity" and reduced administrative overhead within the North Carolina public sector. Dell must counteract this narrative head-on by targeting aging infrastructure across the city's highly federated departments with **PowerStore**. By highlighting PowerStore's superior, publicly validated data reduction guarantees, its native AI-driven predictive telemetry (CloudIQ), and its flawless integration into existing hypervisor environments, Dell can execute surgical competitive displacements against Pure's expanding footprint, particularly within departments highly sensitive to the political backlash surrounding data center power and cooling inefficiencies.
- **VMware/Broadcom Repatriation (Hybrid Intervention):** The recent, chaotic disruption in the VMware reseller channel on the NC 204X contract—specifically the removal of Dell as a CA Inc. reseller—signals a period of massive, unpredictable licensing cost volatility for municipal IT leaders. Charlotte is highly likely to face sudden, punitive spikes in hypervisor renewal costs as their enterprise agreements expire. Dell must leverage this specific vulnerability by offering a highly strategic intervention: utilizing **Dell APEX Cloud Platforms** or **VxRail** to provide entirely predictable, locked-in cost models. Alternatively, Dell can assist the city in actively repatriating expensive, unoptimized public cloud workloads back to a highly efficient, Dell-managed private cloud environment to directly

offset the financial shock of Broadcom's aggressive licensing inflation.